# EXPLOITING MARKET ROTATION

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Money likes to make money. Boom and bust cycles, hype cycles, hot sectors, the next big thing. Whatever you want to call it, the market loves it. But once buying slows enough in a sector, there is not enough money on the sidelines to keep pushing it up further. So what happens? Money gets bored, the managers behind it find that they are experiencing increasingly diminishing returns in a sector, and they look to rotate the money into sectors that have more potential for further growth and gains.

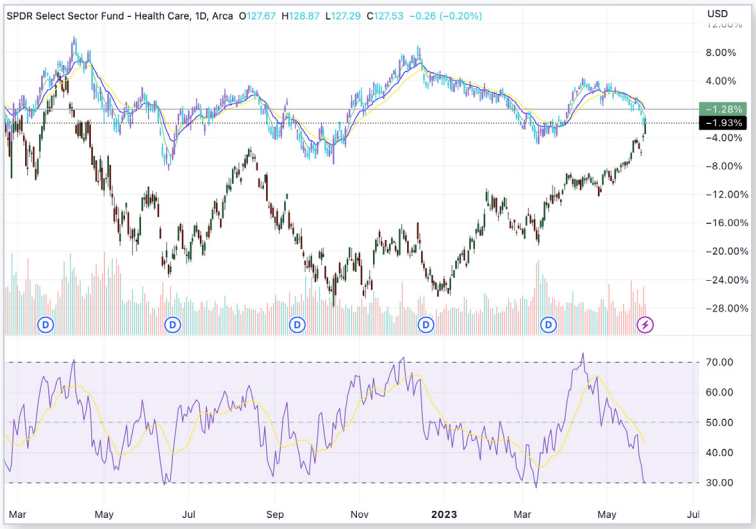
As a general rule, the markets are designed to go up. The constant rebalancing of funds in order to stay up-to- date on current hot sectors, and the rotation of money out of peaked sectors into new and upcoming ones keeps the markets trending upwards for long periods of time. On the inverse side of that, it is the same reason that sharp down turns typically happen very fast compared to longer sideways/upwards trends. For markets to trend down, there needs to be a lack of willingness to rotate into other sectors, and a larger desire for money to sell all sectors together.

If we think about how this rotation functions, we can think about how money moves in market cycles on all time frames. From macro cycles and monthly rotations, for example the growth sector (shown here via ARKK) peaking out in February 2021 and cycling into the energy sector (shown via XLE).

**XLE & ARKK (W)** Overlay chart

**ARKK/XLE (M)** Ratio chart showing ARKK and XLE relationship

On this broader time frame, major money was already invested heavily into the growth sector, as the sector drives higher, eventually it peaks (usually parabolically as fear of missing out drives it higher), there is no more sidelined money to put into the sector, it starts to dry up on gains, and the money rotates out of that sector via selling, and then gets redeployed into other sectors that have been sidelined and primed for potential growth.




XLF & XLK (D) Overlay chart

We can also experience this rotation on an incremental basis, meaning that we can see this happen both at a decade long view point, or even down to a daily view. Below is an example of healthcare selling off on the daily time frame, while the tech sector explodes in the exact same time frame. The money is coming out of healthcare and cycling into a sector that has more potential for growth in that short time frame.

While on the longer time frames you might be looking at hundreds to thousands of percent growth, the shorter time frames serve slightly different functions. The first is of course for money to be made, but the second is for money to get out. Bigger money will try to sell towards market tops - think CEO's selling shares, or perhaps ex-wives. (Fun fact Elon Musk's ex-wife was probably the closest to the top seller we've seen, locking in her TSLA shares at 1259 pre-split - almost the exact top). Thus, selling some names while other names run on these shorter time frames allows for money to come out of the market ahead of some broader selling.

Cycling this up further, we can start to see rotation on time frames down to the hourly and then down to the minute. When the broader market can sustain rotation, the broader trend of sideways to bullish will remain. A market can grind higher on this rotation as long as the money wants to continue to pursue gains. As the market starts to stall, the rotation starts to speed up. The money on the sidelines is not interested, or there isn't much market participation, perhaps waiting for lower prices, and in order to keep things propped up, instead of price going parabolic, the rotation starts to speed up parabolically.

Here is an example of one minute rotation between the energy sector (shown via XLE) and tech sector (shown via GOOGL). At this point in the market, the rotation is very clear down to the minute time frame. When this rotation peaks out, there is not much left to do but for the markets to either catch a bid - perhaps via news that gets people interested, or dump to take out some of the used up money, so that it will be able to redeploy after a cooling off period.

GOOGL & XLE (2m) Overlay chart

# HOW TO CAPITALIZE ON ROTATION

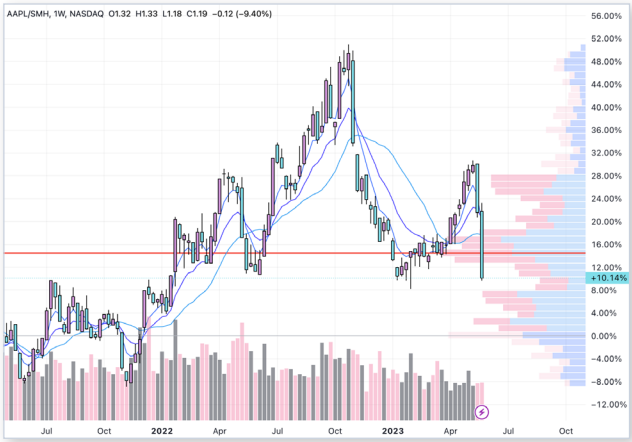
As traders we can use this market rotation on varying time frames to capitalize on hotter sectors, as well as cues for possible bigger moves or sell action coming. By recognizing shifts in market behavior, and using several tools such as market rotation via stockcharts.com, or ratio charts (see below), we can watch all time frames for opportunities, and signs of stalling.

On broader time frames, we can watch for varying sectors to rotate. Currently for example, biotech and small cap names are relatively uneventful as far as the weekly charts go. While they have some good intraday action, for a longer term swing trader they are lacking in directional gains. So a swing trader would instead be looking at the current monthly rotation and seeing that large cap tech names are the current hot spot of volatility and large percentile moves.

Using that rotational information, we can then delve further into the tech sector on smaller time frames. Which name has yet to move? Which name has been consolidating for a while without movement, and could see some movement if money rotates?

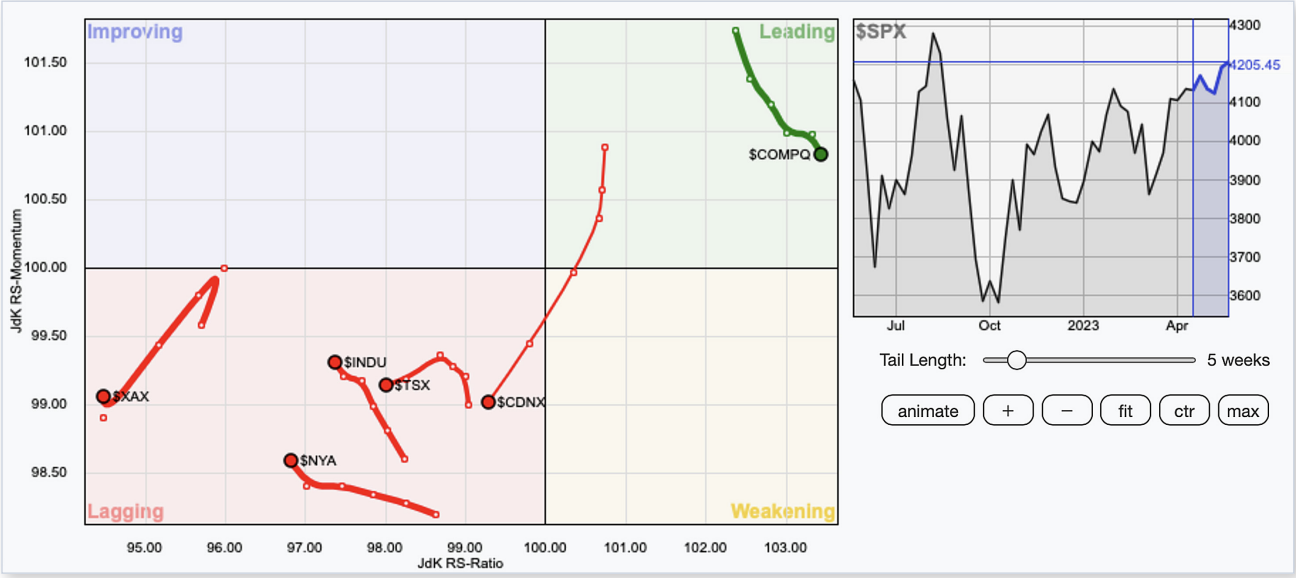
A great example of this is a niche of the tech sector with semiconductors. If we look at the market bottoming process, SMH (the semiconductor ETF) bottomed in Oct 2022, and rallied into the end of the year, while other names, AAPL, AMZN, GOOGL and TSLA continued their downtrends into the end of December. Then, the market bounced altogether with several names bouncing aggressively into the start of the year as beat up names saw extensive bounces. In the last couple of months, major moves have happened in META, GOOGL, AAPL and AMZN, while several semiconductor names, while still strong, remained relatively flat. After weeks of sideways action, on the back of AI hype and strong earnings sentiment, SMH names exploded - including LRCX, AVGO and AMD. And while those exploded? You guessed it, AMZN and AAPL started to teeter off remaining relatively flat.

This is shown below via the AAPL/SMH ratio chart, and then via the two charts in comparison.




**AAPL/SMH (W)** Ratio chart

**AAPL & SMH (W)** Overlay chart




RRG Chart  Market rotation chart via stockcharts.com

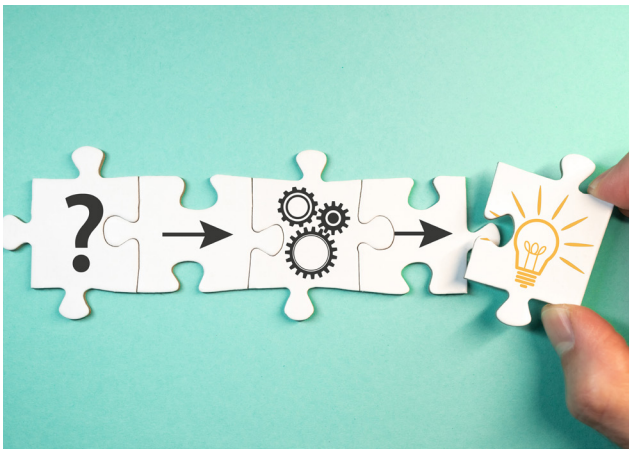
Relative rotation graphs measure the performance of sectors against a common benchmark, showing the rotation of invested capital over a period of time. The movement between these corners can help show the rotation of where money is moving from, and where it's moving to.



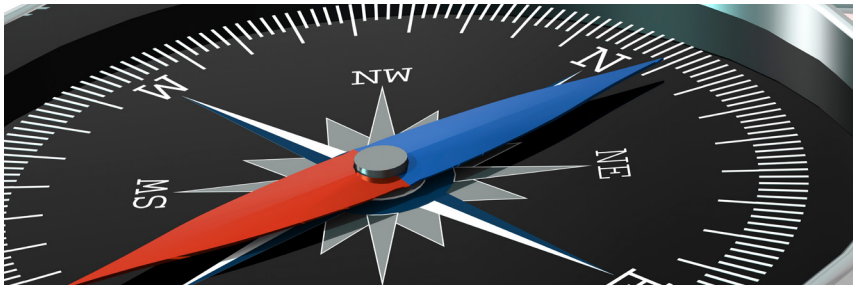




## PUTTING IT ALL TOGETHER



Whether a short term scalper or long term investor, watching for signs of rotation in the markets can help us pick out lagging names, slower sectors that can start to become hot again, or identify potential topping signals as money dries up and rotation ramps up. By watching smaller time frame rotation, we can start to use clues to investigate where the market is getting its money from, where it could be going, and how we want to be positioned.

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